

Australian dwelling approvals: A shaky start to 2026

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Total dwelling approvals $-7.2\% \text{mth}$, $-15.7\% \text{yr}$



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- Dwelling approvals fell for a second consecutive month in January ($-7.2\% \text{mth}$), undershooting expectations, with the annual pace dropping to $-15.7\% \text{yr}$ – the weakest outcome since December

2023. As always, housing data needs to be treated with more caution over the December-January low period.

- Private units continued to drive headline volatility, recording sharp declines across both high-rise and low-mid-rise. Private detached houses are showing clearer positive momentum, revisions lifting the three-month pace to 3.0%qtr – the fastest since late-2024.
- A pronounced state divergence persists, with approvals strong in Qld, WA and SA, while NSW and Vic continued to weaken.
- Looking ahead, higher interest rates and softer dwelling price growth are expected to temper the approvals outlook, with approvals forecast to lift slightly to around 200k in 2026.

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